Gold Circuit Electronics (2368 TT)

Target price: **TWD1,600.00** (from TWD1,650.00)

Share price (10 Nov): **TWD983.00** | Up/downside: **+62.8%**

5 4 3 2 **1**

Buy (unchanged)

3Q26 review: results largely in line with our estimates

- GM expands with spec upgrade and favourable pricing environment
- New client and new products likely to be key growth drivers in 2027
- Maintaining Buy (1) rating; trimming 12M TP to TWD1,600

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What's new: We review GCE's 3Q26 results, released on 10 November.

What's the impact: 3Q26 beat Bloomberg consensus. GCE's 3Q26 earnings came in at TWD6.39bn (EPS: TWD12.4), in line with our estimate and 3% higher vs. the street's. While revenue was 7% lower than our expectation due to flooding in Thailand and product transition, gross margin expanded by 4pp QoQ to 38.7% mainly due to easing raw-material cost inflation and its own price increases. However, net income was impacted by higher non-op loss of TWD238m (likely due to FX loss) though offset by a lower effective tax rate of 25% as Thailand plant turned more profitable.

Business outlook. Looking ahead, GCE now guides for revenue to be flattish QoQ in 4Q26. We suspect that AMZN's ASIC AI server gradually shifting its model from air-cooled (2 chipsets per mainboard) to liquid-cooled (4 chipsets) and the year-end inventory-taking are the key reasons. However, we expect the stagnant revenue momentum to be short-lived and growth momentum to resume with new projects (including Google's TPU and MSFT's Maia) contributing from 1H27.

In 2H27, we expect new capacity ramps at its 2nd plant in Thailand and 2nd plant in Suzhou (acquisition of Pegatron's land; across the 1st plant in Suzhou) to be growth drivers, which could further increase its allocation in major ASIC AI server projects. As for concerns over the thicker-HDI board (a combination of sequential lamination HLC and HDI together) that we highlighted in in our previous note (2Q26 results review: profitability missed slightly), we believe GCE has already overcome the difficulties for 3-lamination HDI and can now successfully produce AMZN's requirement on its Trn4 AI server heavy HDI board. However, GCE might still need to achieve the requirement for Google's TPU v9 which requires c.5-6 lamination techniques. We believe the capacity expansion in 2027 would not be enough to catch up with AI demand growth in 2027. As such, we believe it will further drive price hikes in CCL raw-material, CCL, and PCB, and see gross margin (GM) expansion over our forecast horizon. We raise our GM forecasts to 40.5%/41.3% (prior: 38.0/40.2%) for 2027-28E.

What we recommend: We raise our 2027-28E EPS by 1-10% to reflect its 3Q26 results and higher GM on current supply-demand dynamics. We reaffirm our Buy (1) call but trim our 12M TP to TWD1,600 with a lower PER target of 21x (prior: 26x; vs. past-3-year range of 7-28x), on our 4-quarter-forward diluted EPS, to reflect weaker market sentiment and on-going concerns over HDI. Key risk: worse-than-expected AI server demand.

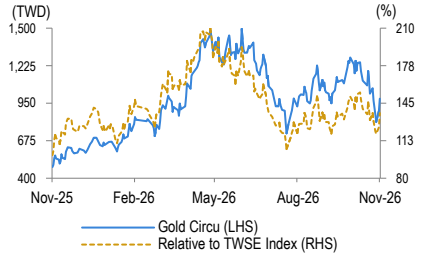
How we differ: Our 2027-28E earnings are 4-5% higher than consensus, likely due to our higher profitability assumptions.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	(4.4)	(0.8)	(0.8)
Net profit change	1.0	11.7	2.3
Core EPS (FD) change	(0.2)	10.3	1.0

Source: Daiwa forecasts

Share price performance



12-month range	498.50-1,495.00
Market cap (USDbn)	15.43
3m avg daily turnover (USDm)	343.85
Shares outstanding (m)	517
Major shareholder	Yang Chang-Yi (19.7%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	102,437	156,697	216,612
Operating profit (m)	29,160	51,237	75,415
Net profit (m)	21,300	38,641	53,732
Core EPS (fully-diluted)	41.196	74.733	103.920
EPS change (%)	116.6	81.4	39.1
Daiwa vs Cons. EPS (%)	(0.8)	4.8	3.8
PER (x)	23.9	13.2	9.5
Dividend yield (%)	1.0	1.9	3.1
DPS	10.0	19.0	30.0
PBR (x)	10.2	6.5	4.4
EV/EBITDA (x)	17.0	9.8	6.5
ROE (%)	51.2	60.2	55.0

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 6

Flash

GCE: Daiwa's revenue and earnings forecasts vs. consensus

	2026E			2027E			2028E		
(TWDm)	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	107,164	102,437	107,364	157,914	156,697	164,205	218,256	216,612	214,339
Diff (%)		**-4.4%**	**-4.6%**		**-0.8%**	**-4.6%**		**-0.8%**	**1.1%**
Gross Margin (%)	35.5%	37.2%	36.1%	38.0%	40.5%	38.8%	40.2%	41.3%	39.8%
Operating profit	29,573	29,160	30,181	48,569	51,237	52,435	73,797	75,415	70,075
Op Margin (%)	27.6%	28.5%	28.1%	30.8%	32.7%	31.9%	33.8%	34.8%	32.7%
Net profit	21,082	21,300	21,462	34,600	38,641	36,855	52,511	53,732	51,748
EPS (TWD)	41.29	41.20	41.51	67.77	74.73	71.28	102.86	103.92	100.08
Diff (%)		**-0.2%**	**-0.8%**		**10.3%**	**4.8%**		**1.0%**	**3.8%**

Source: Bloomberg, Daiwa forecasts

GCE: quarterly and annual P&L statement

	2026E				2027E							
(TWDm)	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE	2025	2026E	2027E	2028E
Net revenue	**19,313**	**24,279**	**29,567**	**29,278**	**32,424**	**38,161**	**41,962**	**44,149**	**60,004**	**102,437**	**156,697**	**216,612**
COGS	-12,590	-15,866	-18,125	-17,780	-19,543	-22,786	-24,899	-26,030	-40,321	-64,361	-93,257	-127,129
Gross profit	**6,722**	**8,413**	**11,443**	**11,499**	**12,881**	**15,375**	**17,063**	**18,119**	**19,683**	**38,077**	**63,439**	**89,483**
Operating expenses	-1,538	-1,996	-2,690	-2,694	-2,821	-3,053	-3,105	-3,223	-5,640	-8,917	-12,202	-14,068
Operating profit	**5,185**	**6,418**	**8,753**	**8,805**	**10,060**	**12,322**	**13,958**	**14,896**	**14,043**	**29,160**	**51,237**	**75,415**
Non-operating profit	-97	-118	-238	58	69	75	69	71	130	-395	284	264
Pre-tax profit	**5,088**	**6,299**	**8,515**	**8,863**	**10,130**	**12,397**	**14,027**	**14,967**	**14,173**	**28,765**	**51,521**	**75,678**
Income taxes	-1,604	-1,516	-2,129	-2,216	-2,532	-3,099	-3,507	-3,742	-4,567	-7,465	-12,880	-21,947
Net profit	**3,484**	**4,783**	**6,386**	**6,647**	**7,597**	**9,298**	**10,520**	**11,225**	**9,607**	**21,300**	**38,641**	**53,732**
Net EPS (TWD)	**6.82**	**9.25**	**12.35**	**12.86**	**14.69**	**17.98**	**20.35**	**21.71**	**19.02**	**41.20**	**74.73**	**103.92**
Operating Ratios												
Gross margin	34.8%	34.7%	38.7%	39.3%	39.7%	40.3%	40.7%	41.0%	32.8%	37.2%	40.5%	41.3%
Operating margin	26.8%	26.4%	29.6%	30.1%	31.0%	32.3%	33.3%	33.7%	23.4%	28.5%	32.7%	34.8%
Pre-tax margin	26.3%	25.9%	28.8%	30.3%	31.2%	32.5%	33.4%	33.9%	23.6%	28.1%	32.9%	34.9%
Net margin	18.0%	19.7%	21.6%	22.7%	23.4%	24.4%	25.1%	25.4%	16.0%	20.8%	24.7%	24.8%
YoY (%)												
Net revenue	60%	75%	67%	78%	68%	57%	42%	51%	54%	71%	53%	38%
Gross profit	78%	105%	82%	108%	92%	83%	49%	58%	73%	93%	67%	41%
Operating profit	104%	124%	88%	121%	94%	92%	59%	69%	74%	108%	76%	47%
Pre-tax profit	92%	151%	80%	107%	99%	97%	65%	69%	67%	103%	79%	47%
Net profit	99%	182%	98%	127%	118%	94%	65%	69%	71%	122%	81%	39%
QoQ (%)												
Net revenue	18%	26%	22%	-1%	11%	18%	10%	5%				
Gross profit	22%	25%	36%	0%	12%	19%	11%	6%				
Operating profit	30%	24%	36%	1%	14%	22%	13%	7%				
Pre-tax profit	19%	24%	35%	4%	14%	22%	13%	7%				
Net profit	19%	37%	33%	4%	14%	22%	13%	7%				

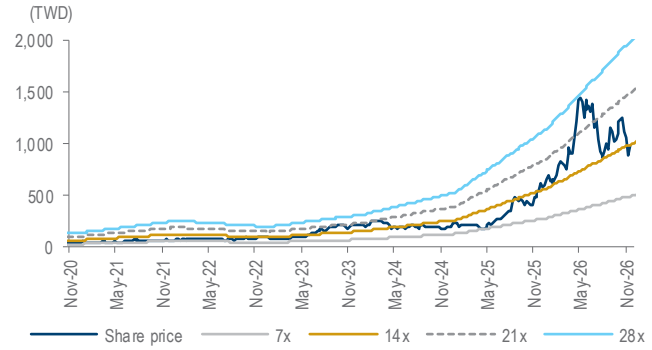
Source: Company, Daiwa forecasts

GCE: 3Q26 comparison table

(TWDm)	Actual	QoQ	YoY	Daiwa	Diff %	Consensus	Diff %
Revenue	29,567	22%	67%	31,849	-7%	30,599	-3%
Gross profit	11,443	36%	82%	11,451	0%	11,276	1%
Gross margin (%)	38.7%			36.0%		36.9%	
Operating profit	8,753	36%	88%	8,967	-2%	8,830	-1%
Operating margin (%)	29.6%			28.2%		28.9%	
Pre-tax profit	8,515	35%	80%	9,006	-5%	8,790	-3%
Net profit	6,386	33%	98%	6,394	0%	6,205	3%
EPS (TWD)	12.35	33%	98%	12.53	0%	12.15	3%

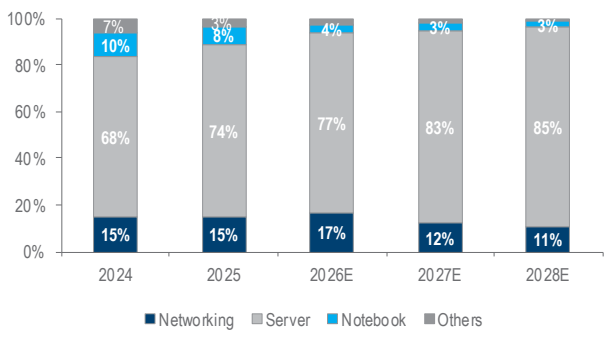
Source: Company data, Daiwa forecasts, Bloomberg

GCE: 1-year-forward PER bands



Source: TEJ, Daiwa forecasts

GCE: revenue breakdown by product



Source: Company, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Networking PCB shipment (k sqft)	7,492.8	9,106.7	6,894.0	8,096.6	11,598.2	16,838.4	15,803.3	18,108.6
Server PCB shipment (k sqft)	24,031.1	33,555.9	29,493.9	34,972.5	54,601.1	63,126.0	79,069.9	104,895.0
Server PCB ASP (TWD per K sqft)	496.6	395.1	651.2	547.4	488.5	704.2	1,000.4	1,237.5

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Networking	5,319	6,704	5,064	5,909	8,997	17,003	18,793	23,619
Server	13,257	19,206	19,143	26,674	44,453	79,105	129,805	184,687
Other Revenue	8,032	6,874	5,837	6,369	6,553	6,330	8,098	8,307
Total Revenue	**26,607**	**32,785**	**30,044**	**38,952**	**60,004**	**102,437**	**156,697**	**216,612**
Other income	0	0	0	0	0	0	0	0
COGS	(20,236)	(24,057)	(22,320)	(27,556)	(40,321)	(64,361)	(93,257)	(127,129)
SG&A	(1,625)	(1,973)	(1,785)	(2,355)	(4,383)	(6,853)	(8,663)	(10,084)
Other op.expenses	(623)	(718)	(803)	(974)	(1,256)	(2,064)	(3,539)	(3,985)
Operating profit	**4,123**	**6,037**	**5,136**	**8,067**	**14,043**	**29,160**	**51,237**	**75,415**
Net-interest inc./(exp.)	(51)	(27)	78	78	55	137	139	137
Assoc/forex/extraord./others	(23)	383	3	345	75	(532)	145	127
Pre-tax profit	**4,049**	**6,392**	**5,218**	**8,490**	**14,173**	**28,765**	**51,521**	**75,678**
Tax	(1,122)	(1,820)	(1,689)	(2,875)	(4,567)	(7,465)	(12,880)	(21,947)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	**2,927**	**4,571**	**3,529**	**5,616**	**9,607**	**21,300**	**38,641**	**53,732**
Net profit (adjusted)	**2,927**	**4,571**	**3,529**	**5,616**	**9,607**	**21,300**	**38,641**	**53,732**
EPS (reported)(TWD)	**5.356**	**9.294**	**7.174**	**11.418**	**19.018**	**41.196**	**74.733**	**103.920**
EPS (adjusted)(TWD)	**5.356**	**9.294**	**7.174**	**11.418**	**19.018**	**41.196**	**74.733**	**103.920**
EPS (adjusted fully-diluted)(TWD)	**5.356**	**9.294**	**7.174**	**11.418**	**19.018**	**41.196**	**74.733**	**103.920**
DPS (TWD)	**1.500**	**2.177**	**3.463**	**3.463**	**5.937**	**10.000**	**19.000**	**30.000**
EBIT	**4,123**	**6,037**	**5,136**	**8,067**	**14,043**	**29,160**	**51,237**	**75,415**
EBITDA	**4,898**	**6,911**	**6,103**	**9,156**	**15,359**	**30,202**	**52,856**	**77,685**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	4,049	6,392	5,218	8,490	14,173	28,765	51,521	75,678
Depreciation and amortisation	776	874	967	1,089	1,316	1,042	1,619	2,271
Tax paid	(1,122)	(1,820)	(1,689)	(2,875)	(4,567)	(7,465)	(12,880)	(21,947)
Change in working capital	(2,372)	(2,438)	(70)	(2,647)	(12,581)	(4,486)	(16,304)	(17,950)
Other operational CF items	1,058	1,440	891	1,568	3,917	(0)	0	0
Cash flow from operations	**2,390**	**4,447**	**5,317**	**5,625**	**2,259**	**17,856**	**23,956**	**38,053**
Capex	(826)	(1,360)	(1,623)	(5,131)	(6,733)	(18,029)	(20,371)	(9,314)
Net (acquisitions)/disposals	0	(13)	(12)	(17)	(262)	0	0	0
Other investing CF items	(5)	17	(27)	(56)	(38)	0	0	0
Cash flow from investing	**(831)**	**(1,357)**	**(1,662)**	**(5,205)**	**(7,033)**	**(18,029)**	**(20,371)**	**(9,314)**
Change in debt	(1,237)	989	485	2,044	16,242	0	0	0
Net share issues/(repurchases)	0	(541)	0	0	0	119	0	0
Dividends paid	(820)	(1,190)	(1,703)	(1,703)	(2,920)	(5,170)	(9,824)	(15,511)
Other financing CF items	(92)	(75)	(118)	(18)	(81)	0	0	0
Cash flow from financing	**(2,149)**	**(816)**	**(1,337)**	**323**	**13,241**	**(5,051)**	**(9,824)**	**(15,511)**
Forex effect/others	23	(114)	(552)	700	463	0	0	0
Change in cash	**(568)**	**2,160**	**1,767**	**1,444**	**8,930**	**(5,225)**	**(6,239)**	**13,227**
Free cash flow	1,564	3,087	3,694	495	(4,475)	(173)	3,585	28,738

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	3,843	6,017	7,820	9,191	18,517	13,293	7,054	20,281
Inventory	4,822	5,616	5,970	7,900	9,747	14,106	20,440	27,864
Accounts receivable	9,214	10,825	10,844	13,743	27,310	32,275	49,370	68,248
Other current assets	283	268	278	640	763	763	763	763
Total current assets	**18,162**	**22,726**	**24,913**	**31,474**	**56,337**	**60,437**	**77,627**	**117,156**
Fixed assets	5,679	6,294	6,945	11,635	17,840	34,827	53,579	60,623
Goodwill & intangibles	27	43	58	46	78	78	78	78
Other non-current assets	1,112	977	1,185	1,430	1,491	1,491	1,491	1,491
Total assets	**24,980**	**30,041**	**33,101**	**44,584**	**75,746**	**96,833**	**132,775**	**179,347**
Short-term debt	1,341	2,188	217	1,282	6,010	6,010	6,010	6,010
Accounts payable	5,502	5,661	6,021	8,268	11,032	15,870	22,995	31,347
Other current liabilities	3,431	4,008	4,237	7,419	10,512	10,512	10,512	10,512
Total current liabilities	**10,274**	**11,857**	**10,475**	**16,969**	**27,554**	**32,392**	**39,517**	**47,869**
Long-term debt	2,874	3,340	4,859	4,531	11,875	11,875	11,875	11,875
Other non-current liabilities	430	520	936	1,771	2,836	2,836	2,836	2,836
Total liabilities	**13,578**	**15,717**	**16,270**	**23,272**	**42,265**	**47,103**	**54,229**	**62,580**
Share capital	5,465	4,918	4,918	4,918	5,051	5,170	5,170	5,170
Reserves/R.E./others	5,937	9,406	11,913	16,394	28,430	44,560	73,376	111,597
Shareholders' equity	**11,402**	**14,324**	**16,831**	**21,312**	**33,481**	**49,730**	**78,547**	**116,767**
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	**24,980**	**30,041**	**33,101**	**44,584**	**75,746**	**96,833**	**132,775**	**179,347**
EV	508,630	507,768	505,512	504,880	507,625	512,849	519,088	505,861
Net debt/(cash)	**373**	**(489)**	**(2,745)**	**(3,377)**	**(633)**	**4,592**	**10,831**	**(2,396)**
BVPS (TWD)	**20.864**	**29.123**	**34.221**	**43.332**	**66.282**	**96.181**	**151.914**	**225.834**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	13.7	23.2	(8.4)	29.6	54.0	70.7	53.0	38.2
EBITDA (YoY)	28.8	41.1	(11.7)	50.0	67.8	96.6	75.0	47.0
Operating profit (YoY)	34.1	46.4	(14.9)	57.1	74.1	107.6	75.7	47.2
Net profit (YoY)	41.6	56.2	(22.8)	59.1	71.1	121.7	81.4	39.1
Core EPS (fully-diluted) (YoY)	41.6	73.5	(22.8)	59.1	66.6	116.6	81.4	39.1
Gross-profit margin	23.9	26.6	25.7	29.3	32.8	37.2	40.5	41.3
EBITDA margin	18.4	21.1	20.3	23.5	25.6	29.5	33.7	35.9
Operating-profit margin	15.5	18.4	17.1	20.7	23.4	28.5	32.7	34.8
Net profit margin	11.0	13.9	11.7	14.4	16.0	20.8	24.7	24.8
ROAE	28.3	35.5	22.7	29.4	35.1	51.2	60.2	55.0
ROAA	12.6	16.6	11.2	14.5	16.0	24.7	33.7	34.4
ROCE	27.6	34.0	24.6	32.9	35.8	49.0	62.5	65.3
ROIC	27.5	33.7	24.9	33.3	37.5	49.5	53.5	52.6
Net debt to equity	3.3	n.a.	n.a.	n.a.	n.a.	9.2	13.8	n.a.
Effective tax rate	27.7	28.5	32.4	33.9	32.2	26.0	25.0	29.0
Accounts receivable (days)	110.9	111.6	131.6	115.2	124.9	106.2	95.1	99.1
Current ratio (x)	1.8	1.9	2.4	1.9	2.0	1.9	2.0	2.4
Net interest cover (x)	80.7	219.6	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	39.7	23.4	48.3	30.3	31.2	24.3	25.4	28.9
Free cash flow yield	0.3	0.6	0.7	0.1	n.a.	n.a.	0.7	5.7

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1981 and listed on the Taiwan Stock Exchange in 1998, Gold Circuit Electronics (GCE) was, in its early years, one of the world's top-3 printed circuit board (PCB) vendors providing double-sided and multi-layer PCBs for notebooks. However, as the notebook market became saturated from 2011, GCE started reshuffling its revenue mix to more high-end products (servers, workstations and networking boards). The requirement of higher-layer PCBs from these products has not only proved GCE's manufacturing capabilities but also created a high entry barrier. GCE's revenue contribution from the server and networking segments has surged to over 80% in 2024 (from 37% in 2010), the highest among its PCB peers.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	GCE's Board consists of 9 directors, including 3 independent directors. The number of independent directors is above Taiwan securities law's requirement of more than two and exceeds one-fifth of the total number of directors on the board. The backgrounds of the independent directors are diverse with expertise in the areas of business management, finance & audit, and law, which should be positive for executive and board quality. That said, the roles of CEO and chairman are held by one person, who is a second-generation family member of GCE's founder. The organisation structure appears to us to be a family business, which could lead to conflicts of interest between key executives and outside shareholders.
	Capital management	2	GCE declared a DPS of TWD10.0 in 2025, another record high. GCE has declared cash dividends for six consecutive years from 2020 to 2025, following a period of intermittent payouts mainly due to fierce competition in the PCB industry (especially in notebook applications) and high earnings volatility from its 3 plants in China caused by historically low utilisation rates. We believe the company's strategy to focus on high-end products (eg, servers and networking) has started bearing fruit, which was also the main reason GCE was able to declare a record-high cash dividend in 2025. Overall, we expect GCE to continue to benefit from ASP and gross-margin expansion, driven by server and networking spec upgrades, which should be value-accretive for investors in the long term.
	Related party & transaction	1	Sales to related parties were 0% of total 2025 sales and purchases from related parties were also 0% of total 2025 purchases. We see limited risk from related-party transactions.
S	Supply chain management	1	GCE is a multi-layer PCB manufacturer with major raw materials, such as thin core, copper foil, pre-preg, copper ball, dry film, solder mask and various chemical materials used in the manufacturing process. GCE has acquired the ISO 9001 and IECQ QC 080000 certifications to improve its supply chain management capabilities in product quality and hazardous material usage. Like most hardware vendors, GCE is also committed to refusing procurement of conflict minerals and complying with the Responsible Business Alliance (RBA) Code of Conduct. According to its 2025 annual report, over 99% of its top 40 suppliers returned their RBA commitment letters. As part of its RBA compliance efforts, GCE holds an annual supply chain meeting to review the achievement rate of its previous targets and set new goals for suppliers. In 2025, GCE audited 154 suppliers, including 114 on-site audits and 40 document reviews, achieving a 100% completion rate against its audit targets. The company also evaluates new suppliers based on ISO 9001, ISO 14001 and IATF 16949 certification requirements and conducts annual supplier assessments.
S	Data security	2	Information security is one of the key topics under the company's risk management guidelines. GCE constructed an information security system, under the "information security committee", to minimise the risk of information loss, sabotage, and leakage caused by human errors, malicious destructions or natural disasters. Below are several measures the company has taken to improve data security: GCE will conduct regular awareness training to ensure employees' security awareness and fulfilment of information security system requirements. Also, the information security committee will develop an information security continuity plan and conduct drills to ensure continuous operation of the company.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 10 Nov 2026
Source: Daiwa, Company

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